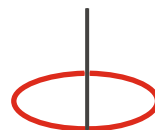


Initiating Coverage

28th January, 2022



DALAL & BROACHA
STOCK BROKING PVT. LTD.

A Steed and a Mammoth in one



CDSL

508, Maker Chambers V,
221 Nariman Point, Mumbai 400 021.
91-22- 2282 2992, 2287 6173
research@dalalbroachaindia.com,
equity.research@dalal-broacha.com

Miraj Shah
Junior Analyst
022-671141489
miraj.shah@dalal-broacha.com

Mayank Babla
Senior Analyst
022-67141412
mayank.babla@dalal-broacha.com



CDSL is one of the two depositories in India. It was incorporated in 1999 and primarily serves as holding securities in dematerialised form. CDSL got listed on NSE in 2017 and is the only depository listed in Asia Pacific region.

Why we like the company?

CDSL is in a niche category with limited competition and very little scope for additional competition. The company earns annuity-like income as well as market driven income. It is set to benefit from incremental demat account openings, active market participation from investors and the boom of IPOs.

Robust growth in transaction-based revenue driven by retail investor participation and stock market rally.

- Transaction fees contributed 34.5% to FY21 revenues of CDSL. The market participation by individuals has increased drastically since the pandemic but the market is still underpenetrated. As of March 2020, there were ~41 Mn demat accounts which rose to ~77 Mn demat accounts in November 2021. This explains that the penetration increased from 3% to 5.6% under 2 years (with a population of ~1380 Mn).
- The market depth has increased constantly since the average daily turnover of NSE went from Rs. 1,40,480 Mn in FY11 to Rs. 6,18,390 Mn in FY21. This was also supported by the stock market rally since April 2020.
- We feel that CDSL will gain more market share as the penetration increases is because the discount brokers like Zerodha, Upstox and Angel One are recording maximum account openings per month and they are participants of CDSL. More account openings will translate to two-fold income, through more transactions and Online Data Charges leading to higher revenues.

IPO & Corporate Action charges have been vibrant due to record breaking number of IPO's in the past 2 years.

CDSL charges fees on processing of IPO/Corporate actions as well as transactions. CY2021 saw record number of IPO's (63) which were more than the total number of IPO's in the past 3 years put together (57). Moreover, many internet companies like Nykaa and Zomato have garnered lofty, rich valuations on the back of high internet penetration, with oversubscribed IPOs. These companies have set the stage for all the startups to focus on IPO on their journey.

Rating	TP (Rs)	Up/Dn (%)
BUY	1,763	19

Market data

Current price	Rs	1,487
Market Cap (Rs.Bn)	(Rs Bn)	155
Market Cap (US\$ Mn)	(US\$ Mn)	2,079
Face Value	Rs	10
52 Weeks High/Low	Rs	1,734 / 476
Average Daily Volume	(000)	919

*BSE Code

Bloomberg CDSL.IN

Source: Bloomberg

* Stock is not listed on BSE

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Jun-21
Promoters	20	20
Public	80	80
Total	100	100

Source: Bloomberg

Mayank Babla

+91 22 67141412

mayank.babla@dalal-broacha.com

Miraj Shah

+91 22 67141489

miraj.shah@dalal-broacha.com

On top of this, in the short term we are expecting the IPO's of LIC (Rs. 700,000 Mn – 1,000,000 Mn), Oyo(Rs. 84,300 Mn), NSE and Adani Wilmar (Rs. 36,000 Mn) (all values of IPO size are in approximation). LIC's IPO is set to be the biggest IPO to debut on Indian markets. This would result in a bumper revenue for CDSL. LIC's IPO will also result in more account openings (as policyholders will get discount) which is beneficial for CDSL.

Outlook

Record number of IPOs with many more to come and stellar account openings with increase in number of trades & ADTO, CDSL is set to poise as the market matures. Strong market linked revenues will trickle down to annuity-like revenues (annual issuer charges) in future. With the above rationales in place, we expect CDSL to register revenues of Rs. 5,989 Mn / 6,912 Mn / 7,730 Mn through FY22E / FY23E / FY24E (growth of 74.2% / 15.4% / 11.8% respectively) with EBITDA margins of 66.9% / 63.3% / 63.7% and PAT margins of 58.4% / 54.8% / 54.5% in the same period. We expect the company to register an EPS of 33.4 / 36.2 / 40.1 in the same period. Keeping the above financials in mind, we value CDSL at 44x FY24E earnings as we have given a premium of 30% over listed exchanges (BSE, MCX & IEX) because of its annuity-like income and higher share of BO accounts compared to NSDL. **We initiate BUY with a target price of Rs 1,763.**

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net sales	1,963	2,251	3,437	5,989	6,912	7,730
EBITDA	1,089	891	2,118	4,006	4,372	4,925
Adjusted net profit	1,148	1,067	2,013	3,488	3,778	4,187
Free cash flow	1,060	(2,368)	(831)	2,114	2,746	3,250
EPS (Rs)	11.0	10.2	19.3	33.4	36.2	40.1
growth (%)	11%	-7%	89%	73%	8%	11%
P/E (x)	135.7	146.0	77.4	44.7	41.2	37.2
P/B (x)	23.3	21.5	17.8	15.3	13.4	11.7
EV/EBITDA (x)	142.9	174.8	72.8	38.1	34.5	30.3
D/E	-	-	-	-	-	-
ROCE (%)	14.9	10.4	23.9	40.0	38.5	38.1
RoE (%)	18.1	15.3	25.1	37.0	34.7	33.5
Dividend yield (%)	0.3	0.3	0.3	1.3	1.5	1.6

Source: Company

Company Background

The company commenced its operations in February 1999. The company was initially promoted by BSE but over the years, stakes were divested to banks. The company facilitates in holding, transacting and settlement of securities such as equities, debentures, bonds, Exchange Traded Funds (ETFs), units of mutual funds, units of Alternate Investment Funds (AIFs), Certificates of deposit (CDs), commercial papers (CPs), Government Securities (G-Secs), Treasury Bills (T-Bills), etc.

The company has 4 subsidiaries, namely CDSL Ventures Ltd (CVL), CDSL Insurance Repository Ltd (CIRL), CDSL Commodity Repository Ltd (CCRL) and CDSL IFSC Ltd. (CIL). As of 31st March 2021, the subsidiaries together contributed 21.2% to the total revenues of CDSL.

On a consolidated basis, FY21 revenues were 3,437.2 Mn and the following were their metrics:

Particulars	FY18-FY21 CAGR	FY16-FY21 CAGR	Margins (FY21)
Revenue	22.4%	22.9%	
EBITDA	24.3%	27.1%	61.6%
PAT	24.8%	28.2%	50.0%

The subsidiaries:

CDSL Ventures Ltd:

CVL is registered with:

- SEBI as KYC Registration Agency (KRA) and Registrar & Transfer Agent (RTA)
- Goods and Services Network (GSTN) as GST Suvidha Provider (GSP)
- Unique Identification Authority of India (UIDAI) as eKYC User Agency (KUA)
- Controller of Certifying Agencies (CCA) as Certifying Authority (CA)

The subsidiary majorly performs duties of serving as a back-office team for investors. The KRA creates and maintains KYC data of investors (required by agencies). There are 5 KRAs in India, namely, CAMS Investor Services Pvt Ltd, CDSL Ventures Ltd, Karvy Data Management Services Ltd, NSDL Database Management Ltd and DotEx International (Subsidiary of NSE). CVL is the first and the largest KRA in the country with 3.45 crore fully digitized records as on 30th September 2021. The KRA system was implemented in 2006 with AMFI, later KYC registration was made mandatory.

CVL commenced its RTA operations in November 2018. The RTA maintains and updates the KYC details, bank details, corrections in details, investors transactions, processing of emails and sending out notices among other data it handles. Their role also extends to providing information to the investors about new offers, maturity dates and all other investor-centric information at one place for their reference.

There are over 327 RTAs mentioned on the CDSL website while the most notable ones are CAMS, Karvy and LinkIntime. As on 30th September 2021, there were 750 companies serviced by CVL.

The KUA is an entity engaged in providing Aadhaar enabled services to Aadhaar Number Holders. There are a total of 234 registered AUAs/KUAs.

The Certifying Authorities (CAs) issue digital signature certificates for electronic authentication of users. There are a total of 16 CAs authorized by Controller of Certifying Authorities.

CVL contributed Rs 836.6 Mn to total revenue for FY21 and the 3-year revenue CAGR was 25%.

CDSL Insurance Repository Ltd:

- CIRL facilitates holding insurance policies in electronic form. It is regulated by Insurance Regulatory and Development Authority of India.
- CIRL operates as a repository to hold insurance policies in electronic format. As on 31st March, the total e-policies were 0.42 Mn compared to total e-policies which stood at 8.3 Mn. As on 30th September 2021, CIRL had a total of 0.66 Mn insurance accounts as compared to total of 7.6 Mn e-Insurance accounts. The market size is huge as the total number of policy holders is between 450-500 Mn (as on 31st March 2021). CVL has signed insurer agreements with 22 out of 24 life insurance companies and 20 out of 33 general insurance companies.
- The competitors in insurance repository segment are CAMS Insurance Repository Services Ltd, Karvy Insurance Repository Services Ltd and NSDL Database Management Ltd. For FY21, CIRL contributed Rs. 28.46 Mn to total revenue. The 3-year revenue CAGR from the subsidiary stood at 7.7%. CDSL and CVL jointly hold 54.25% while remainder is held by 10 insurance companies.

CDSL Commodity Repository Ltd:

- CCRL facilitates holding and transfers of commodity assets in electronic form through issuance of electronic Negotiable Warehouse Receipts (eNWRs). It is regulated by Warehouse Development & Regulatory Authority (WDRA).

CCRL commenced its operations on 30th September 2017. It facilitates holding and transacting of eNWR. This helps farmers and Farmer Producer Organisations (FPOs) to hold commodities in electronic form instead of physical storage receipts. This also allows Banks and NBFCs to control the eNWRs more effectively with respect to pledging, un-pledging and other activities. As on 30th September 2021, the revenue of the subsidiary was Rs. 47.23 Mn and 3 year revenue CAGR was 18.1%. CDSL owns 52% of the company while the remainder is owned by BSE Investments and MCX (24% each).

CDSL IFSC Ltd

CDSL IFSC Ltd (CIL) was registered on 12th March 2021 with International Financial Services Centres Authority (IFSCA) in GIFT City. This is the most recently formed subsidiary.

CIL facilitates in transacting and holding foreign securities, bullion (gold and silver), depository receipts and other instruments allowed by IFSCA. CIL is also in the process of establishing linkages amongst Global CSDs for Clearing and Settlement of delivery-based transactions of all permissible securities traded at IFSC.

Revenue Streams:

Transaction Income: (34.5% of FY21 revenues)

CDSL earns on per debit transaction from a BO (Beneficiary Owner) account, i.e. when shares are sold. The fees are paid by the account holder. The fees vary from 5.5Rs per transaction and goes down to 4.25Rs depending on the size of the transaction.

Historically these rates have not been changed. Any changes in these rates will have to be discussed with the regulator (SEBI) for approval.

Tariffs for Debit Transactions	
Monthly Transaction Bill Amount	Rate per debit transaction
Less than 0.1 Mn	5.5/-
0.1 Mn – 0.4 Mn	5/-
0.4 Mn – 1.5 Mn	4.5/-
More than 1.5 Mn	4.25/-

Comparatively, the rival (NSDL) charges a flat fee of 5Rs per debit.

Annual Issuer Charges: (25% Of FY21 revenues)

These charges are paid by the issuer (issuer of securities). The charges paid are either 11Rs per folio ISIN as on 31st March of each year or fixed as per the slab, whichever is higher. The slabs are given below:

Admitted Share Capital	Charges (Rupees)
Upto 2.5 Crs	5,000/-
Between 2.5 Crs and 5 Crs	9,000/-
Between 5 Crs and 10 Crs	22,500/-
Between 10 Crs and 20 Crs	45,000/-
Above 20 Crs	75,000/-

The annual issuer charges are same for both the depositories. The charges are discussed with SEBI by both the depositories together every 5 years. Before 2010 the charges were Rs. 5 per folio ISIN, in 2010 the rates were revised to Rs. 8 per folio ISIN and subsequently revised to Rs. 11 in 2015. All the revisions in prices were inclusive of the slab rate clause/criteria (which may be different for both depositories). The last discussion (and revision) for charges took place in 2015 and was due in 2020 but was delayed due to the pandemic.

Live issuer companies – listed companies must register on both the depositories. Unlisted companies have an option. But if unlisted companies wish to conduct a corporate action, then it is compulsory for them to dematerialize.

IPO/Corporate Action Charges: (9.6% of FY21 revenues)

The charges per IPO are fixed which are Rs. 10 per debit and/or credit. The IPO companies become incremental companies in annual issuer charges later. Verification of BOID's earn Rs. 2 per record or as per slab rate, whichever is higher. This is not based on allottees but per application based. One time processing charges are Rs. 15,000 for non-dematerialized issuers and Rs. 20,000 for dematerialized issuers.

Issue Size	Charges (Rupees)
Upto 10 Crs	10,000/-
Between 10 Crs and 100 Crs	25,000/-
Between 100 Crs and 1,000 Crs	50,000/-
Above 1,000 Crs	1,00,000/-

Online Data Charges: (16.3% of FY21 revenues)

Online data charges are the KYC charges. The agency which creates/fetches investor data is charged by CDSL. No charges are levied on the investor. The charges for creation are Rs. 20 and for fetching are Rs. 35. CDSL is a powerful data-house as it holds more than 3.45 Cr KYC details, making it the largest KRA in the country. There are several other adjacent revenue streams which complement the current business such as e-sign (Certifying Authority) and eKYC.

eKYC charges are Rs 10 per application (including 3Rs of UIDAI).

Other revenue streams:

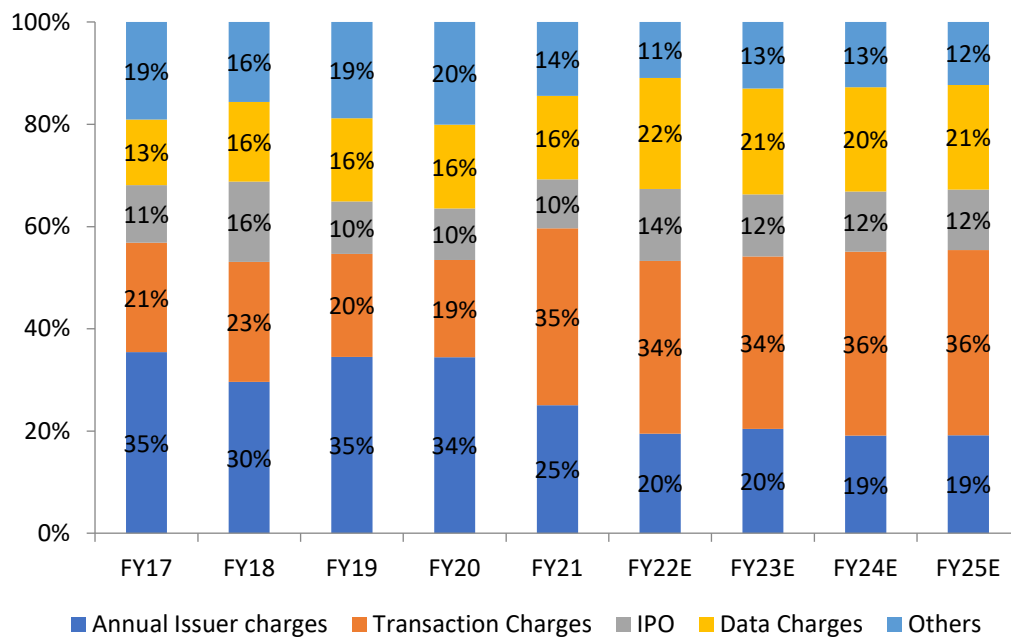
There are other revenue streams such as Account Maintenance Charges, ECAS charges, Insurance Repository charges, Document storage charges, Settlement charges, pledge/unpledge etc which contribute to the total revenue. Some of these revenue streams have strong potential for future growth with respect to certain regulatory changes in the future.

E-Voting charges are 1Rs per folio (not dependent on how many people vote but how many folios are registered).

Electronic Insurance charge is Rs 25 per credit.

Following is the revenue mix for CDSL's revenue streams:

Exhibit 1: Revenue Mix



Source: Company, Dalal & Broacha Research

Costs:

The major costs are:

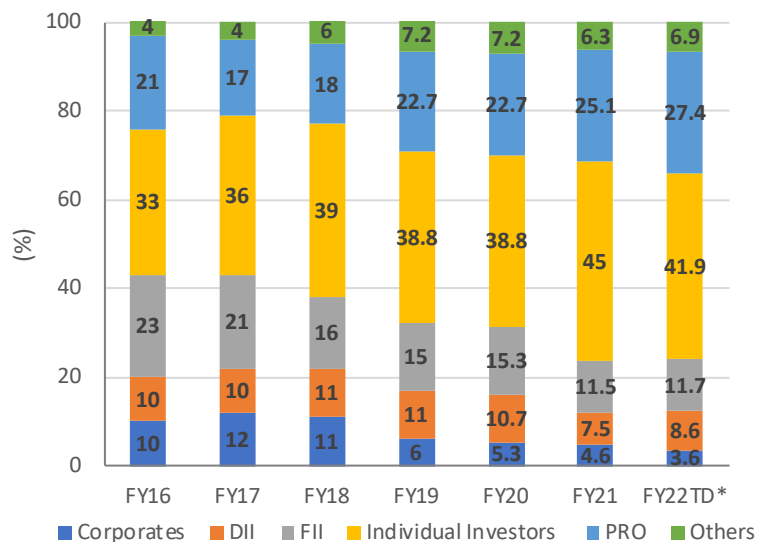
- Employee costs, which are expected to rise in line with inflation
- Tech Cost, which is expected to increase on the back of constant developments and upgradation.
- Regulatory Cost, which is 5% of operating profit towards Investor Protection Fund and certain % of issuer fees to SEBI.

Investment Rationale

Transaction Income: (34.5% of Q2FY21 Revenues)

- Transaction driven income is charged from the BO account holder. The revenue is dependent on the level of market participation. Market participation increased drastically when the pandemic hit as more individuals took part in the stock market.

Exhibit 2: Category wise Market Participation



*FY22YTD is till November 2021

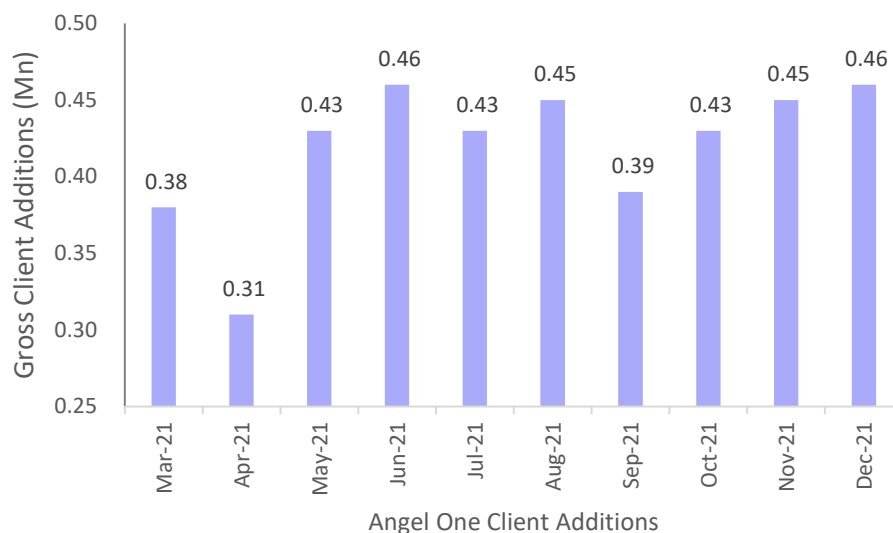
Source: NSE Market Pulse

The chart shows how market participation of retail investors has increased over the years.

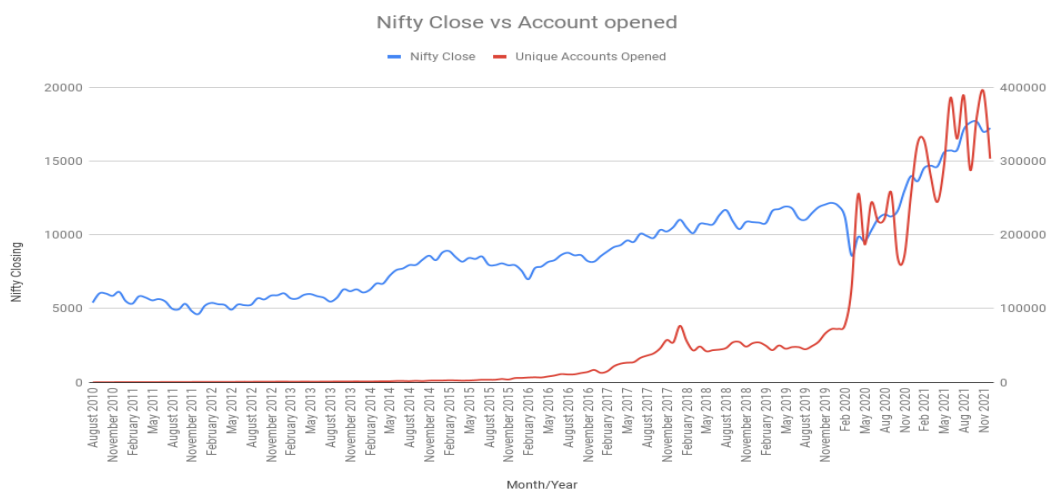
Another Key to growth is to add more Depository participants due to which there will be more demat account openings. CDSL gained competitive advantage (over NSDL) by being first mover in registering for and rolling out KYC process electronically (eKYC) and allowing single account holder. These were the hurdles in NSDL. For this reason, CDSL has almost twice DPs as compared to NSDL. CDSL also helped the participants with training and IT processes (friendly service). For these reasons, most fintech's associated themselves with CDSL. Some of the larger participants who deal with them are Angel One, Anand Rathi, Motilal Oswal, Upstox, Zerodha.

Among the list, Angel One has been average 0.4 Mn account openings per month since March 2021

These strong account additions make up for incremental transaction activity in the market.

Exhibit 3: Gross Client Additions (Mn)

Source: Angel One, Dalal & Broacha Research

Exhibit 4: Gross Client Additions (Mn)

Source: Zerodha Website

The above chart refers to Zerodha's Account Additions which has averaged between 0.3 Mn - 0.4Mn. per month.

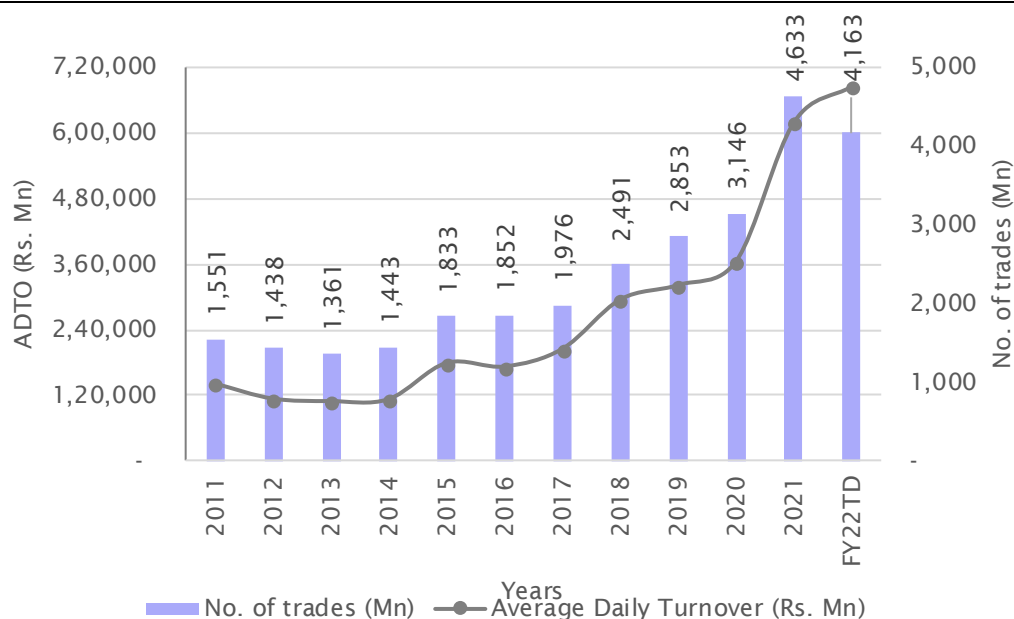
CDSL has a total of 591 Depository Participants while NSDL has 277.

We feel the level of participation should sustain, if not increase since the total number of demat accounts as a percentage of population is ~5.6% (as of November 2021, we have 7.7 Cr total active demat accounts vs a population of approximately 138 Cr). To put in another perspective, the retail participation in Indian Market stands at 45% as of FY2021.

Out of ~5.26 Cr demat accounts with CDSL, only ~70,000 accounts are of corporates, remainder are of individuals. Even after the massive addition in Investor Accounts over the last 2 years, we believe that there is immense headroom for retail participation (in absolute numbers) to increase from current levels of approximately 5.6% of total population as the market matures and evolves. This should translate into a positive domino effect for CDSL in its Transactionary Revenue, (reflected in No. of trades and ADTO), Online Data Charges and Annual Issuer Charges (through higher number of ISINs). We believe that every bull-run would lead to increase in market participants and therefore presents an immense growth opportunity for CDSL.

- Corporate demat accounts pay Rs 500 annually (as account maintenance charge) while individuals pay none. NSDL holds more corporate BO accounts compared to CDSL. This is because NSDL started before CDSL, and it was compulsory for corporates to hold a demat account. Hence, majority corporates registered themselves with NSDL.
- The chart below represents data regarding NSE only. It represents the historical market activity with Average Daily Turnover (ADTO) and No. of trades. In FY21, NSE recorded maximum number of trades ever, at 4,633 Mn. In the same duration, the ADTO was Rs. 6,18,390 Mn. This represents the initial stages of increasing market penetration. The reason why we feel that the penetration is increasing is because the ADTO has already crossed FY21's average in FY22TD (till December 2021), currently at Rs. 6,83,490 Mn. FY22 is set to cross FY21 in terms of No. of trades too.

Exhibit 5: Historical Market Activity



Source: NSE, Dalal & Broacha Research

Revision in Annual Issuer Charges: (25% of FY21 revenues)

The Annual Issuer Charges are revised every 5 years. Historically the charges were 5, 8 and 11 (revision to Rs. 11 in 2015). The charges were due to be revised in 2020 but the revision discussion didn't take place due to the pandemic.

The charges are due for revision and should take place in the near future. Keeping in mind the history of revisions, the prices have been increased. We expect a similar change (increase) in the next revision.

The number of issuer companies have been increasing for CDSL but are lower as compared to NSDL. NSDL has almost double the number of live issuer companies. It was not compulsory for unlisted companies to dematerialize their shares unless there was a corporate action. In 2018, MCA (Ministry of Corporate Affairs) made it mandatory for unlisted companies to dematerialize if there is a corporate action. MCA levied charges for it too (starting 2018). NSDL used to not charge anything for listing the company (before it was made mandatory) which led more registrations with NSDL.

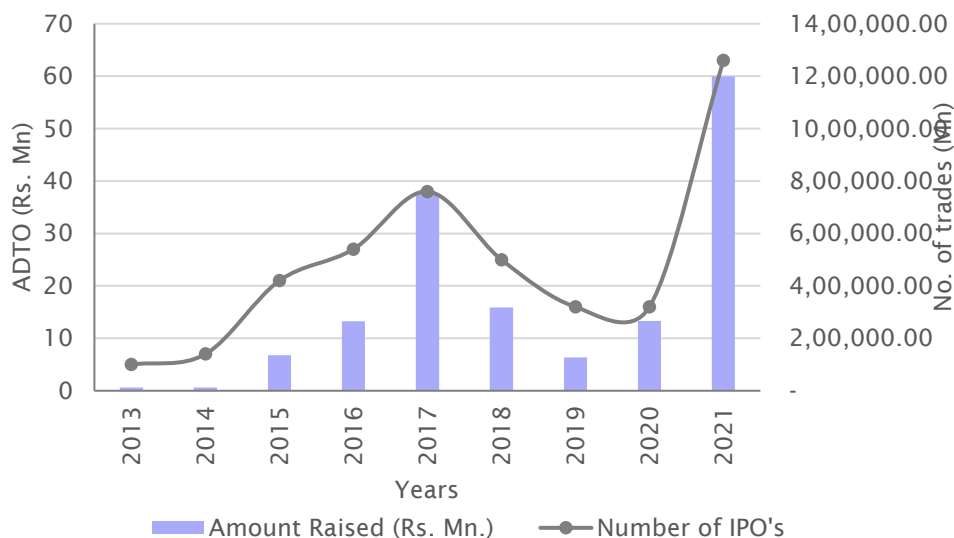
Although CDSL lagged in matching the fee structure in the start - which led lower registrations versus NSDL, CDSL is now focusing on Issuer company additions through a dedicated sales team for this segment.

IPO & Corporate Action Charges: (8.2% of Q2FY22 revenues – included in others)

CDSL has been the beneficiary of the IPO boom that the fiscal 2021 has witnessed. Many new age companies were listed at lofty valuations and received overwhelming responses. By getting listed, companies like Zomato, PayTM, PolicyBazaar, Nykaa, CarTrade, MapmyIndia, etc. have set the precedent for startups to plan going public in the future. This has resulted in numerous start-ups, new-age and unorthodox businesses striving for listing in public markets.

In numbers, CY21 has witnessed 63 IPO's and has almost Rs.1,200,000 Mn. The number of IPOs in CY21 are more than the past 3 years combined and the amount raised is almost double of the amount raised in the past 3 years combined. CY18, 19 and 20 raised just over Rs. 7,00,000 Mn.

Exhibit 6: IPO History



Source: Dalal & Broacha Research

The time when such high number of IPO's were recorded was in 2007 (108) and 2010 (66) which were followed by a decent number of listings in the following year (39 & 40 listings respectively).

On top of this we are still expecting IPO's of LIC, Adani Wilmar, Oyo and NSE. LIC's IPO is expected to be the largest IPO to debut on Indian Markets and the size of the issue would be a positive indicator of the volume of trading expected in the market. Along with the transaction based income (which will be reflected from the volume of trading), the IPO/Corporate Action charges and subsequently, Annual Issuer Charges will also be key beneficiaries.

These make up for short term as well as long term triggers for the stock.

Additional complementary businesses:

CVL is the largest KRA in the country with 3.45 Cr KYC records. Being the largest KRA, they are able to generate adjacent revenues through similar businesses such as ekyc, esign, RTA, CA, GSPN, etc. Keeping this in mind, we believe that CDSL has capabilities to take on several similar businesses which may not adversely reflect in costs but help in revenues.

Other revenue streams:

CDSL is setting up building blocks on several other revenue streams which can be proved incremental into the future. Events such as compulsion of dematerialized Insurance and MF will play out in the distant future along with establishment of IFSC which provides exposure to foreign securities as well as Gold.

Dematerialization of shares was gradually made mandatory. We can expect a similar story in MFs and Insurance to play out. The management has not commented on the future of MF dematerialization but we are positive on this event to take place.

To understand the scope in Insurance industry, as on 31st March 2021, the total e-policies with CIRL were 0.42 Mn compared to total e-policies which stood at 8.3 Mn. Every e-policy is stored in an insurance account. An insurance account can hold more than 1 policy. CIRL had 0.60 Mn insurance accounts as on 31st March 2021 (0.66 Mn as on 30th Sept). The total number of Insurance policy holders in the country stood at 450-500 Mn while the total policies in circulation was 663 Mn as of March 2021. This means the penetration in terms of policies stood at 1.25% while penetration in terms of account holders stood at just 0.15%. This shows immense growth potential for the industry itself.

Correct Directional Steps:

CDSL was the first company to start KYC (in 2006-07) which was later made mandatory (in 2007 with KRA regulations). Started e-voting which was also later made mandatory (currently CDSL is the market leader). From time to time, there were different services provided by CDSL which has helped brokers in ease of handling and servicing (eASI, Easiest) as well as companies to hold AGMs virtually.

CDSL is also working on bringing all the financial assets offered by different regulators (SEBI, IRDAI, RBI, PFRDA, etc) under one account. This will help them better their position amidst their peers by being the company to offer all assets under one demat account.

Even as the regulator is taking steps towards T+1 settlement, CDSL has already prepared itself to adjust to the change. Such steps show right initiatives by the firm.

Risks

Entry Barriers:

Management feels that third depository can be possible, but they will have to do a lot of work in terms of getting companies on board and getting depository participants registered with them. We do not see the possibility of a new entrant coming in since this is a highly regulated space and the last depository established (CDSL) was more than 20 years ago.

Regulatory Pressure:

CDSL may face certain regulatory pressures in terms of taking over certain functions of the market which might not be aligned with their core duties, or certain expenditures which may be asked by the regulators to bear. CDSL will have to obey the directions if such scenarios arise.

Volume:

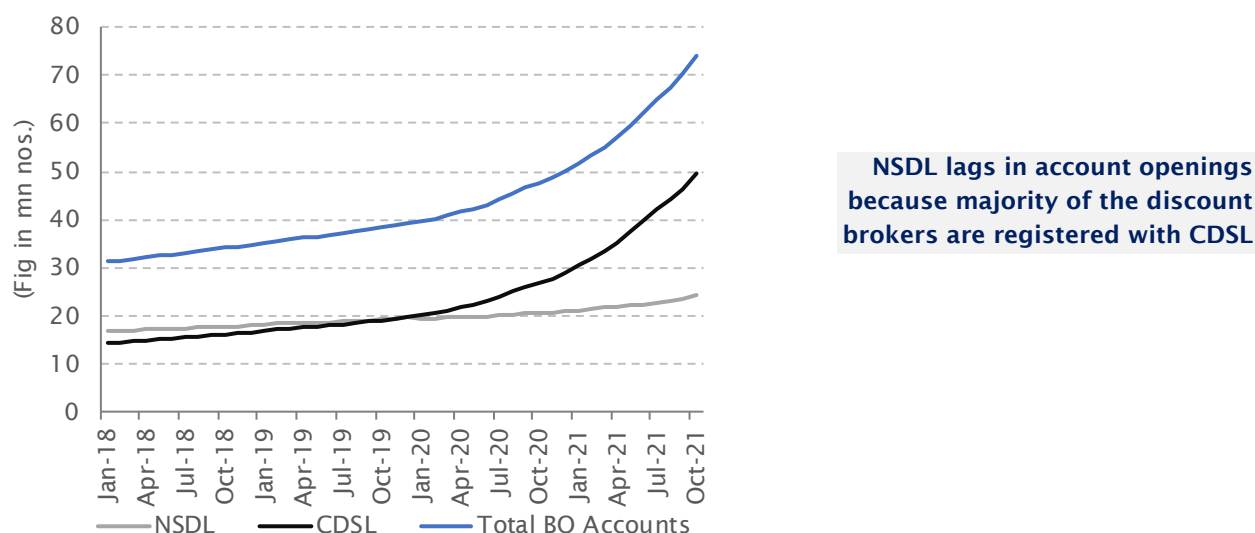
Since the largest source of income is transaction based, the revenues could take a hit if the volume of transactions start to reduce. Such a scenario can be faced in a bear market.

Peer Comparison

CDSL's direct peer is NSDL, it is the only other depository having functions similar to CDSL. NSDL was established in 1996 and is currently owned by Banks and NSE. Following is a comparative analysis between CDSL and NSDL.

- BO Accounts Classification shows the total number of BO accounts with each depository. It is clearly seen that the total number of BO accounts have been increasing since April 2020 and majority of account openings are with CDSL. This growth in account openings could be credited to the discount brokers who have been registering stellar numbers in account openings per month.

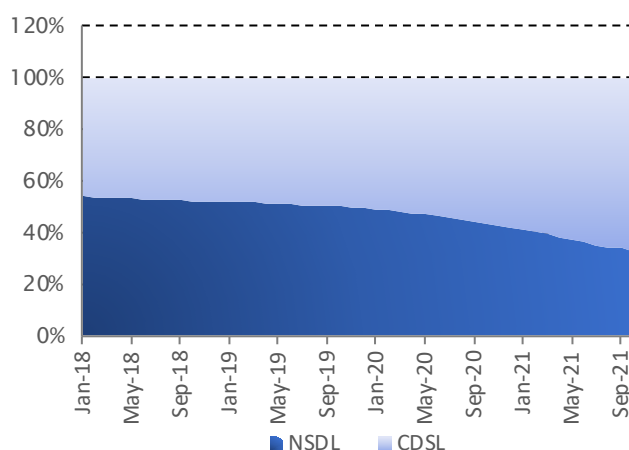
Exhibit 7: BO Accounts Classification



Source: Company, Dalal & Broacha Research

- Market Share shows the share of total BO accounts in existence. CDSL had a 46% market share in January 2018 but stands at 67% as on October 2021.

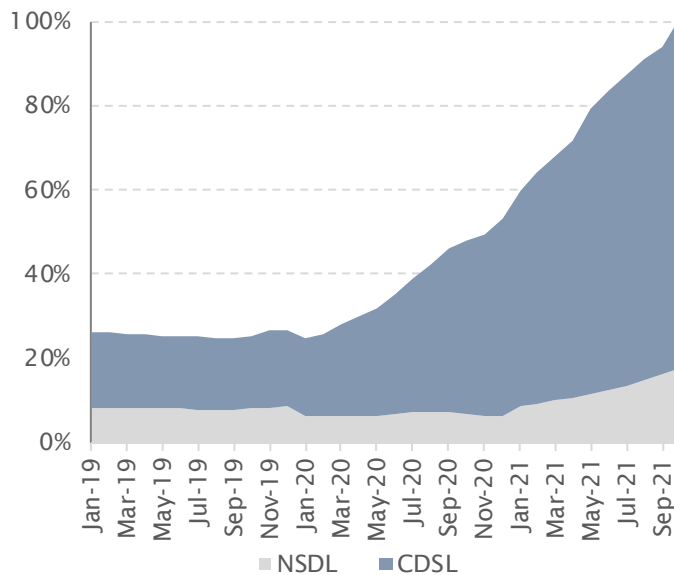
Exhibit 8: Market Share MoM (%)



Source: Company, Dalal & Broacha Research

- BO Accounts YoY growth rate shows how quick the account opening figures have grown between CDSL and NSDL. As on October 2021, CDSL registered an 84% growth rate while NSDL registered merely 18%.

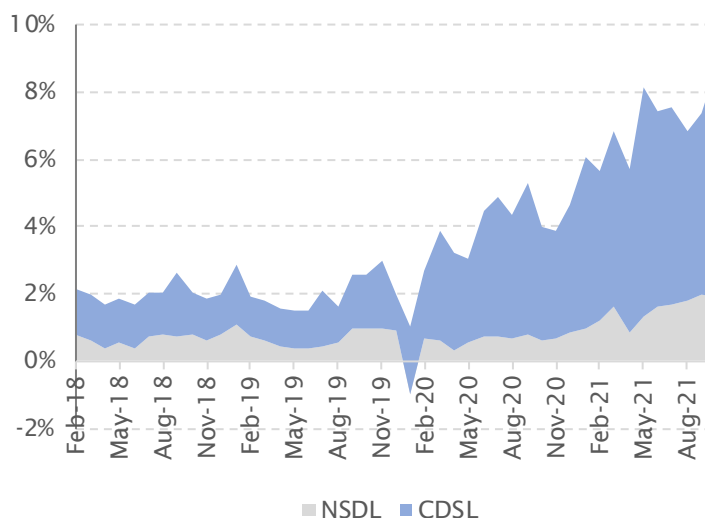
Exhibit 9: BO Accounts YoY Growth Rate (%)



Source: Company, Dalal & Broacha Research

- BO Accounts MoM Growth Rate recorded that CDSL been averaging growth rate of 6% MoM since April 2021 while NSDL averaged only 1.6% in the same duration.

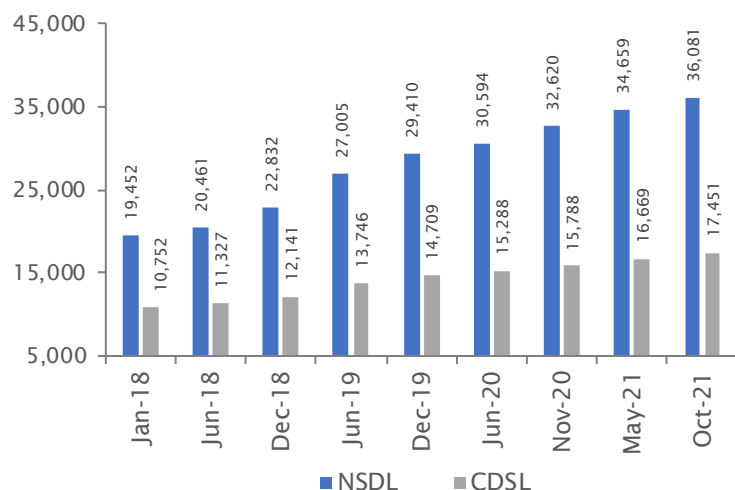
Exhibit 10: BO Accounts YoY Growth Rate (%)



Source: Company, Dalal & Broacha Research

- Annual Issuer Companies is where CDSL lags (for the reasons mentioned above). Public companies have to compulsorily register themselves with both the depositories while non-public companies have an option to select from the preferred. Non-public companies have to compulsorily dematerialize if they want to conduct a corporate action.

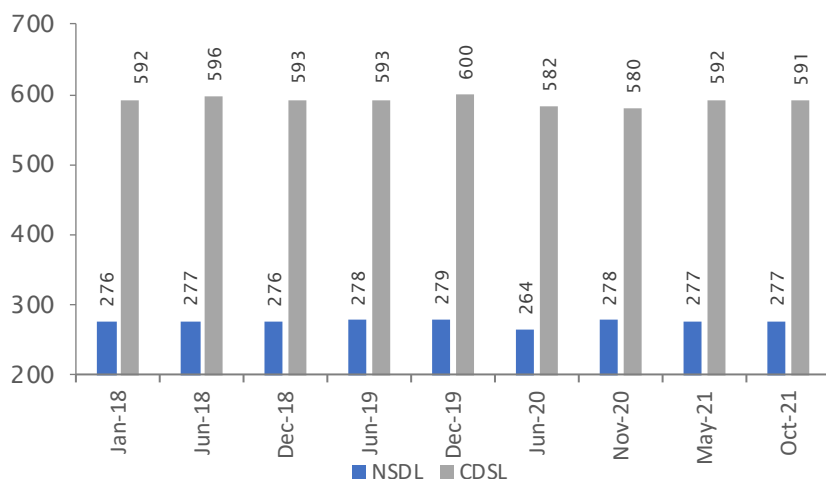
Exhibit 11: Annual Issuer Companies (in Nos.)



Source: Company, Dalal & Broacha Research

- DP Participants is the main source of growth in BO account openings. According to the data, CDSL has more than twice the number of DP Participants as compared to NSDL.

Exhibit 12: Total DP Participants



Source: Company, Dalal & Broacha Research

Note: On a comparative stance, CDSL only lags in number of Annual Issuer Companies. Elsewhere, CDSL has proven itself to be the stronger peer.

Valuation & Outlook

CDSL is currently trading at 37x / 30.8x FY23e / FY24e EPS. We believe that CDSL is a benchmark long-term compounder with several short term and long-term triggers.

In the near and medium term: triggers such big bang IPOs (LIC and NSE) should drive all its revenue segments, namely Annual Issuer charges, IPO/Corporate Action charges, Transaction Charges (higher BO account openings and higher trading / investment volumes) and Online Data charges (due to higher KYC verifications). Secondly, the COVID pandemic witnessed a never seen before retail penetration and participation in the Indian equity markets – which led to record leading demat / depository account openings (see chart on page...). The pandemic has not only led to higher retail penetration (which is evident from robust BO account openings) but also higher participation, which is evident from % share of retail participants in turnover increasing from 33% in FY16 to 42% in FY22TD (till November 2021) – both of which have translated into robust Transactionary Income and Online Data Charges revenue for CDSL.

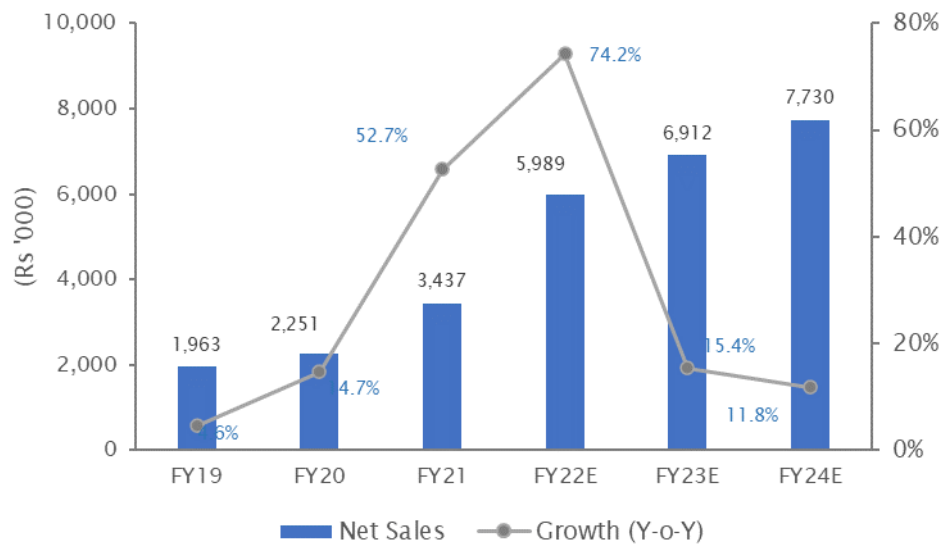
In the long term: We expect dematerialization phenomenon in the Insurance industry to play out over the long term – similar to compulsory dematerialization of shares in 1999. Currently, CDSL holds 6% market share in dematerialized MFs. Compulsory dematerialization in MF industry would mean that the entire pie would grow at unprecedented rates. As of Q2FY22, CDSL (through its subsidiary CDSL Insurance Repository Limited CIRL) has 6.63 lakh e-insurance accounts and as of FY21 CIRL had 4.22 lakh e-insurance policies. For perspective, total number of life and non-life policies in force as of FY21 stood at ~66.3 Cr.

We initiate coverage with a BUY on CDSL with a target multiple of 44x FY24e EPS of INR 40.1 to arrive at a target price of INR 1,763. We base our target multiple on the back of following rationales: 1) Premium to average forward multiple of listed exchange companies like MCX, IEX and BSE - which are trading in a range of 30x-65x FY24E EPS) and 2) higher market share in BO accounts at 67.2% versus NSDL at 32.8%.

Lastly, the above target price does not capture the long term triggers mentioned above and therefore we believe that CDSL can be a good long term compounding story as and when these triggers play out in the future.

Financials

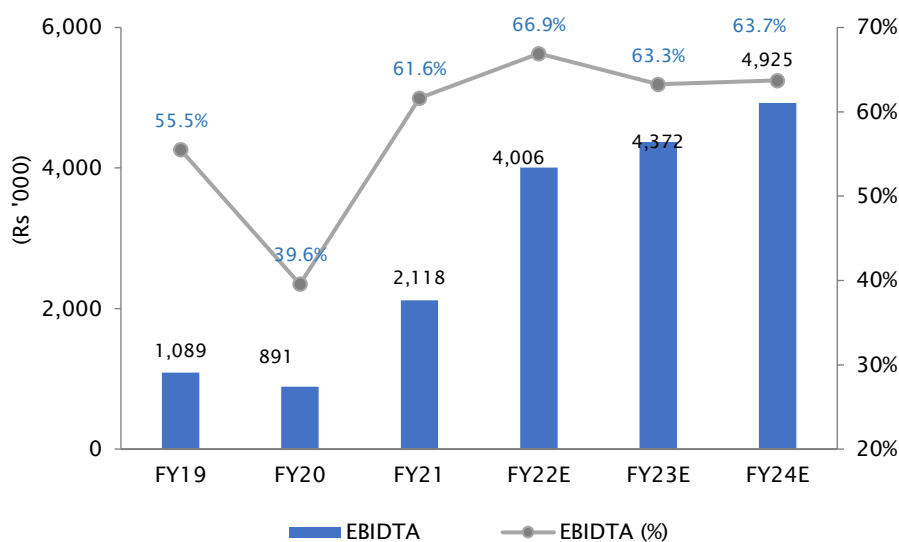
Exhibit 13: Net Sales and Sales Growth (%)



Sales have grown exponentially on the back of investor participation and market rally but we expect sales growth to normalize FY23 onwards due to high base

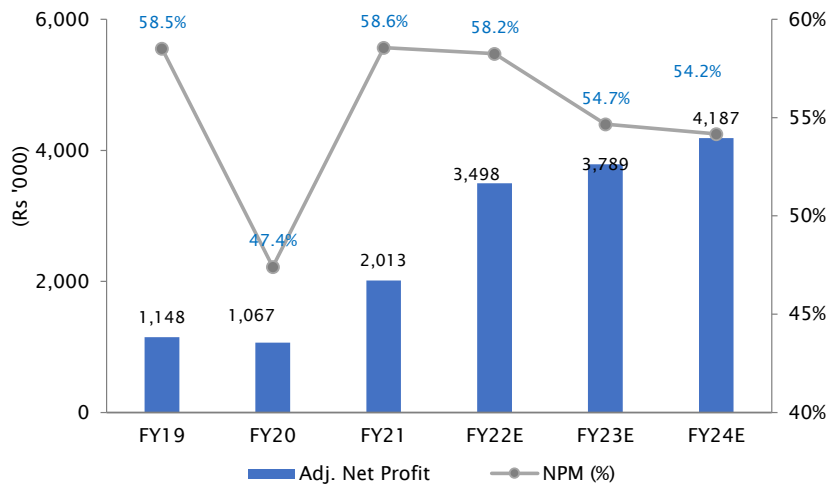
Source: Dalal & Broacha Research

Exhibit 14: EBITDA & EBITDA Margins



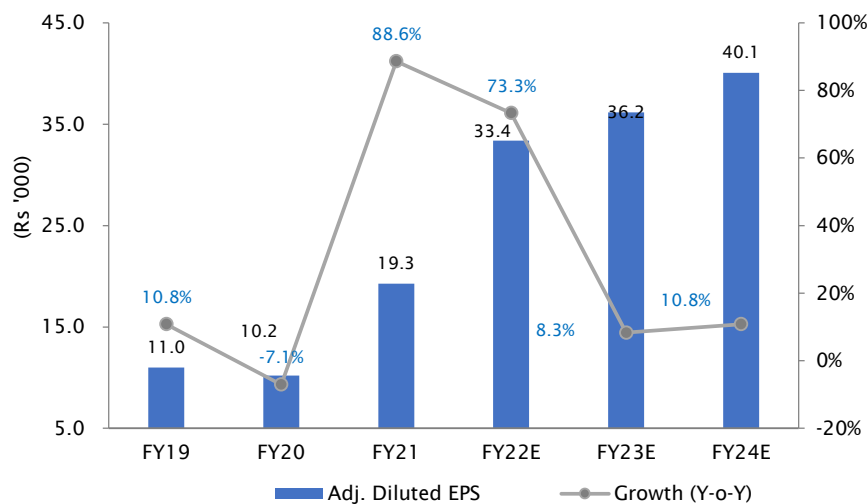
We expect CDSL to maintain similar EBITDA margins going forward

Source: Dalal & Broacha Research

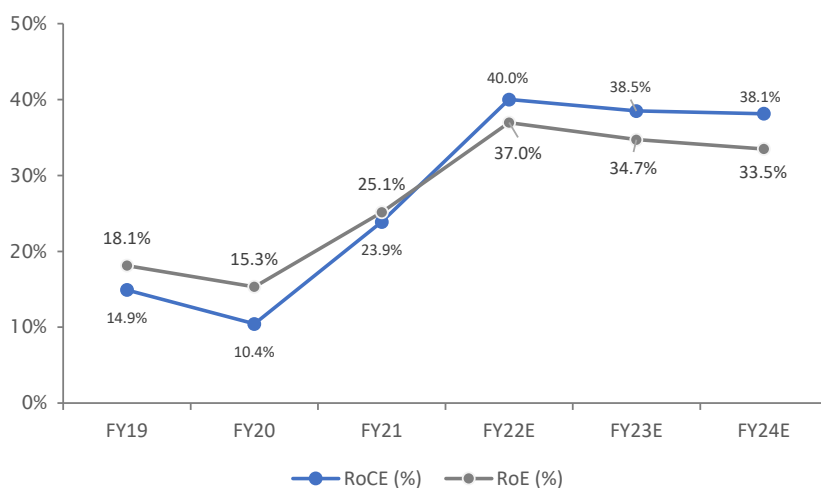
Exhibit 15: Adj. Net Profit and margins

Similar to EBITDA margins, we expect PAT margins to remain at similar levels

Source: Dalal & Broacha Research

Exhibit 16: Adj. Diluted EPS & Growth Rate

Source: Dalal & Broacha Research

Exhibit 17: ROE & ROCE

CDSL has been able to improve its return ratios significantly over time. These benefits will persist

Source: Dalal & Broacha Research

Balance Sheet (Consolidated)								
YE March(Rs. mn)	FY17	FY18	FY19	FY20	FY21	FY22E	FY23E	FY24E
Liabilities								
Equity Capital	1,045	1,045	1,045	1,045	1,045	1,045	1,045	1,045
Share application money pending allotment	0	0	0	0	0	0	0	0
Reserves & Surplus	4,288	4,943	5,636	6,195	7,727	9,116	10,622	12,296
Equity	5,333	5,988	6,681	7,240	8,772	10,161	11,667	13,341
Preference Share Capital								
Net Worth	5,333	5,988	6,681	7,240	8,772	10,161	11,667	13,341
Minority Interest	155	159	413	419	428	0	0	0
Net Deferred tax liability/(Asset)	7	13	1	20	23	23	23	23
Total Loans	0	0	0	0	0	0	0	0
Lease Liabilities	6	9	10	39	26	26	26	26
Capital Employed	5,502	6,169	7,105	7,718	9,249	10,210	11,715	13,390
Assets								
Gross Block	100	856	903	951	986	1,036	1,086	1,136
Less: Depreciation	54	110	177	240	305	415	566	704
Net Block	47	746	726	711	681	621	520	432
Capital WIP	0	0	0	0	101	101	101	101
Right of Use Assets	0	0	0	4	3	3	3	3
Investments	2,729	3,628	4,712	2,734	1,665	1,665	1,665	1,665
Intangible Assets	8	15	26	28	178	127	127	127
Others Assets	251	249	277	319	158	276	588	657
Current Assets								
Inventories	0	0	0	0	0	0	0	0
Sundry Debtors	133	189	191	260	237	492	568	635
Current Investments	2,300	1,583	1,263	3,912	5,429	5,429	5,429	5,429
Cash and Bank Balance	483	420	555	541	2,079	3,268	4,789	6,662
Loans and Advances	98	33	2	49	185	120	138	155
Other Current Assets	24	54	87	79	126	210	242	271
Total Current Assets	3,038	2,278	2,097	4,841	8,057	9,518	11,167	13,152
Less: Current Liabilities								
Sundry Creditors	90	40	36	121	127	230	265	297
Provisions	128	118	135	189	184	321	371	415
Other Current Liabilities	353	589	562	606	1,280	1,547	1,816	2,033
Total Current Liabilities	571	747	734	915	1,591	2,098	2,452	2,744
Miscellaneous Assets	0	0	0	0	0	0	0	0
Capital Applied	5,502	6,169	7,105	7,718	9,249	10,210	11,715	13,390

Profit & Loss A/c								
YE March (Rs. mn)	FY17	FY18	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	1,460	1,877	1,963	2,251	3,437	5,989	6,912	7,730
<i>Growth %</i>	<i>18.8%</i>	<i>28.6%</i>	<i>4.6%</i>	<i>14.7%</i>	<i>52.7%</i>	<i>74.2%</i>	<i>15.4%</i>	<i>11.8%</i>
Other Operating Income								
Total Revenue	1,460	1,877	1,963	2,251	3,437	5,989	6,912	7,730
<i>Growth %</i>	<i>19%</i>	<i>29%</i>	<i>5%</i>	<i>15%</i>	<i>53%</i>	<i>74%</i>	<i>15%</i>	<i>12%</i>
Less:								
Increase/Decrease in Stock								
Cost of Services								
Employee Cost	249	303	342	473	413	508	574	643
Cost of Software developments								
Operating Expenses								
SG&A Expenses & Other	415	441	502	707	809	1,475	1,966	2,163
Total Operating Expenditure	664	744	844	1,180	1,222	1,982	2,540	2,805
EBIDTA	796	1,133	1,119	1,071	2,215	4,006	4,372	4,925
<i>Growth %</i>	<i>22.4%</i>	<i>42.3%</i>	<i>-1.2%</i>	<i>-4.2%</i>	<i>106.8%</i>	<i>80.9%</i>	<i>9.1%</i>	<i>12.6%</i>
<i>Growth %</i>	<i>22%</i>	<i>42%</i>	<i>-1%</i>	<i>-4%</i>	<i>107%</i>	<i>81%</i>	<i>9%</i>	<i>13%</i>
Less: Depreciation	37	69	99	117	92	110	151	138
EBIT	759	1,063	1,019	954	2,123	3,896	4,221	4,787
<i>Growth %</i>	<i>24.8%</i>	<i>40.0%</i>	<i>-4.1%</i>	<i>-6.4%</i>	<i>122.6%</i>	<i>83.5%</i>	<i>8.3%</i>	<i>13.4%</i>
Interest Paid	0	0	0	0	0	0	1	1
Non-operating Income	408	380	492	591	569	691	693	658
Extraordinary Income	0	0	0	0	0	0	0	0
Extraordinary Expense	0	0	0	0	0	0	0	0
Profit Before tax	1,168	1,443	1,511	1,545	2,692	4,587	4,914	5,445
Tax	300	378	334	297	583	1,089	1,130	1,252
Net Profit before Minority	868	1,065	1,178	1,248	2,109	3,499	3,783	4,193
Minority Interest	0	0	0	0	0	5	5	6
Profit/Loss of Associate Company	0	0	0	0	0	-5	0	0
Net Profit	868	1,065	1,178	1,248	2,109	3,498	3,789	4,198
Adjusted Profit	866	1,036	1,148	1,067	2,013	3,498	3,789	4,187
<i>Growth %</i>	<i>49%</i>	<i>20%</i>	<i>11%</i>	<i>-7%</i>	<i>89%</i>	<i>74%</i>	<i>8%</i>	<i>11%</i>
Reported Diluted EPS Rs	8.3	9.9	11.0	10.2	19.3	33.4	36.2	40.1
<i>Growth %</i>	<i>-5.0%</i>	<i>19.7%</i>	<i>10.8%</i>	<i>-7.1%</i>	<i>88.6%</i>	<i>73.3%</i>	<i>8.3%</i>	<i>10.8%</i>
Adjusted Diluted EPS Rs	8.3	9.9	11.0	10.2	19.3	33.5	36.3	40.1

Cash Flows (Consolidated)								
YE December (Rs. Mn)	FY17	FY18	FY19	FY20	FY21	FY22E	FY23E	FY24E
PAT	865.9	1,036.4	1,148.3	1,067.2	2,012.7	3,488.2	3,778.4	4,187.2
(Less)/Add: Extraordinary Income/Expense	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Less: Non Operating Income	(408.5)	(379.9)	(491.9)	(591.5)	(569.2)	(690.8)	(693.0)	(658.4)
Add: Depreciation	37.0	69.5	99.2	117.3	92.0	110.0	151.1	137.6
Add: Interest Paid	0.0	0.0	0.0	0.3	0.2	0.1	0.6	0.6
Tax Adjustment								
Operating Profit before WC Changes	494.4	726.0	755.5	593.3	1,535.8	2,907.5	3,237.0	3,666.9
(Inc)/Dec in Current Assets	133.1	696.0	316.1	(2,758.0)	(1,677.0)	(273.2)	(126.7)	(112.2)
Inc/(Dec) in Current Liabilities	15.2	176.2	(13.1)	181.4	676.0	506.7	354.1	292.3
Changes in Inventory	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Cash From Operations	642.7	1,598.2	1,058.5	(1,983.3)	534.8	3,141.0	3,464.4	3,847.0
CF from Investing Activities								
(Inc)/Dec in Fixed Assets	(42.5)	(755.6)	(47.2)	(48.2)	(34.6)	(50.0)	(50.0)	(50.0)
(Inc)/Dec in Capital Work In Progress	0.0	0.0	0.0	0.0	(100.6)	0.0	0.0	0.0
(Inc)/Dec in Investment (Strategic)	(624.3)	(898.8)	(1,084.4)	1,978.4	1,068.6	0.0	0.0	0.0
(Inc)/Dec in Investment (Others)	46.3	1.4	(27.8)	(41.2)	160.1	(117.3)	(312.1)	(69.5)
Add: Non Operating Income	408.5	379.9	491.9	591.5	569.2	690.8	693.0	658.4
(Inc)/Dec in Intangible Assets	(1.8)	(6.3)	(11.7)	(2.1)	(149.8)	50.8	0.0	0.0
Cash From Investing Activities	(213.8)	(1,279.4)	(679.2)	2,478.3	1,512.9	574.3	331.0	538.8
CF from Financing Activities								
Inc/(Dec) in Total Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Inc/(Dec) in Reserves & Surplus	51.5	(4.7)	(13.4)	(4.7)	(10.2)	0.0	0.0	0.0
Inc/(Dec) in Equity								
Dividend Paid	(377.3)	(377.3)	(440.9)	(503.9)	(470.3)	(2,099.0)	(2,273.2)	(2,512.3)
Tax Paid on Dividend								
Other Financing Activities	(20.8)	8.7	(11.2)	48.4	(10.8)	0.0	0.0	0.0
Less: Interest Paid	0.0	0.0	0.0	(0.3)	(0.2)	(0.1)	(0.6)	(0.6)
Adjustments	8.0	4.6	253.4	5.6	9.3	(427.8)	0.0	0.0
Exceptional Item	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Financing Activities	(338.5)	(368.8)	(212.2)	(454.9)	(482.1)	(2,527.0)	(2,273.7)	(2,512.9)
Net Inc/Dec in cash equivalents	90.4	(50.0)	167.2	40.1	1,565.6	1,188.4	1,521.6	1,873.0
Opening Balance	403.7	483.2	419.5	555.0	540.7	2,079.5	3,267.8	4,789.4
Closing Cash and Cash Equivalent s	494.0	433.2	586.7	595.1	2,106.3	3,267.8	4,789.4	6,662.4

Key Ratios (Consolidated)								
YE March (Rs. mn)	FY17	FY18	FY19	FY20	FY21	FY22E	FY23E	FY24E
Key Operating Ratios								
EBITDA Margin (%)	54.4%	58.8%	55.5%	39.6%	61.6%	66.9%	63.3%	63.7%
Tax / PBT (%)	25.8%	26.7%	22.5%	22.2%	22.4%	23.7%	23.0%	23.0%
Net Profit Margin (%)	59.3%	55.2%	58.5%	47.4%	58.6%	58.4%	54.8%	54.2%
RoE (%)	17.1%	18.3%	18.1%	15.3%	25.1%	37.0%	34.7%	33.5%
RoCE (%)	14.5%	17.7%	14.9%	10.4%	23.9%	40.0%	38.5%	38.1%
Current Ratio (x)	5.3x	3.0x	2.9x	5.3x	5.1x	4.5x	4.6x	4.8x
Dividend Payout (%)	43.6%	36.4%	38.4%	47.2%	23.4%	60.2%	60.2%	60.0%
Book Value Per Share (Rs.)	45.9	51.0	57.3	63.9	69.3	83.9	97.2	111.6
Financial Leverage Ratios								
Debt/ Equity (x)	0.1x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x	0.0x
Interest Coverage (x)								
Interest / Debt (%)	1.4%	3.1%	2.4%	64.1%	103.3%	77.3%	78.2%	0.0%
Growth Indicators %								
Growth in Gross Block (%)	29.3%	15.0%	31.5%	45.8%	12.3%	66.1%	27.7%	0.0%
Sales Growth (%)	NA	18.8%	28.6%	4.6%	14.7%	52.7%	74.2%	15.4%
EBITDA Growth (%)	NA	24.3%	39.0%	(1.3%)	(18.2%)	137.8%	89.1%	9.1%
Net Profit Growth (%)	NA	(5.0%)	19.7%	10.8%	(7.1%)	88.6%	73.3%	8.3%
Diluted EPS Growth (%)	NA	(5.0%)	19.7%	10.8%	(7.1%)	88.6%	73.3%	8.3%

Key Ratios								
YE March (Rs. mn)	FY18	FY19	FY20	FY21	FY22E	FY23E	FY24E	
EBITDA (%)	54.4%	58.8%	55.5%	39.6%	61.6%	66.9%	63.3%	63.7%
NPM (%)	59.3%	55.2%	58.5%	47.4%	58.6%	58.2%	54.7%	54.2%
RoE (%)	17.1%	18.3%	18.1%	15.3%	25.1%	37.0%	34.7%	33.5%
RoCE (%)	14.5%	17.7%	14.9%	10.4%	23.9%	40.0%	38.5%	38.1%
Tax Rate %	25.8%	26.7%	22.5%	22.2%	22.4%	23.7%	23.0%	23.0%
Book Value Per share (Rs.)	51.0	57.3	63.9	69.3	83.9	97.2	111.6	127.7

Valuation Ratios								
YE March (Rs. mn)	FY17	FY18	FY19	FY20	FY21	FY22E	FY23E	FY24E
P/E (x)	179.9x	150.3x	135.7x	146.0x	77.4x	44.7x	41.2x	37.2x
P/BV (x)	29.2x	26.0x	23.3x	21.5x	17.8x	15.3x	13.4x	11.7x
EV/EBITDA (x)	195.8x	140.9x	142.9x	174.8x	72.8x	38.1x	34.5x	30.3x
EV/Sales	106.5x	82.9x	79.3x	69.2x	44.9x	25.5x	21.8x	19.3x
Market Cap./ Sales (x)	106.7x	83.0x	79.4x	69.2x	45.3x	26.0x	22.5x	20.2x
Dividend Yield (%)	0.2%	0.2%	0.3%	0.3%	0.3%	1.3%	1.5%	1.6%

Source: Dalal & Broacha Research, Company

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Name	Designation	Email	Phone	Sector
Mr.Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022 67141442	Retail FMCG Logistics
Mrs.Charulata Gaidhani	Sr.Analyst	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma Healthcare
Mr.Mayank Babla	Sr.Analyst	mayank.babla@dalal-broacha.com	022 67141412	IT Telecom Media
Mr.Avinash Tanawade	Sr.Analyst	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr.Akshay Ashok	Sr.Analyst	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr.Bhavya Gandhi	Analyst	bhavya.gandhi@dalal-broacha.com	022 67141444	Midcaps
Mr.Miraj Shah	Analyst	miraj.shah@dalal-broacha.com	022 67141489	FMCG Retail

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com